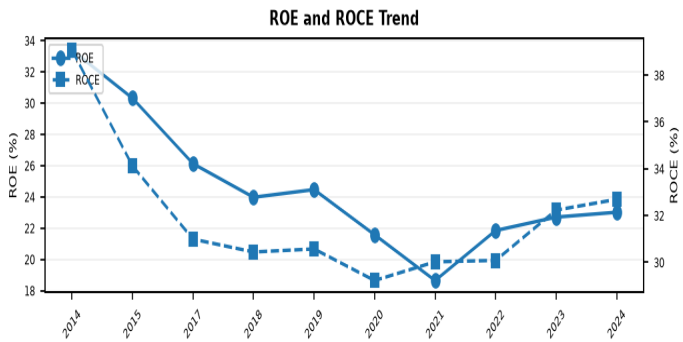
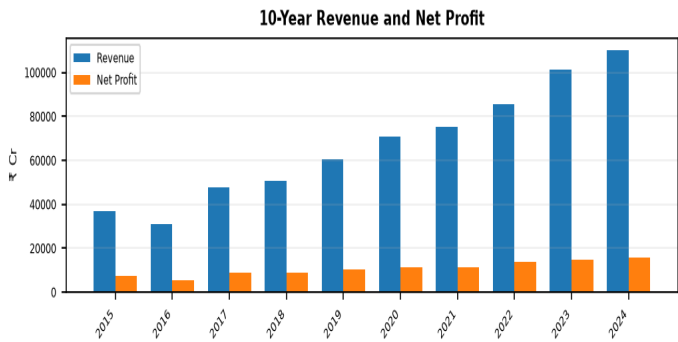
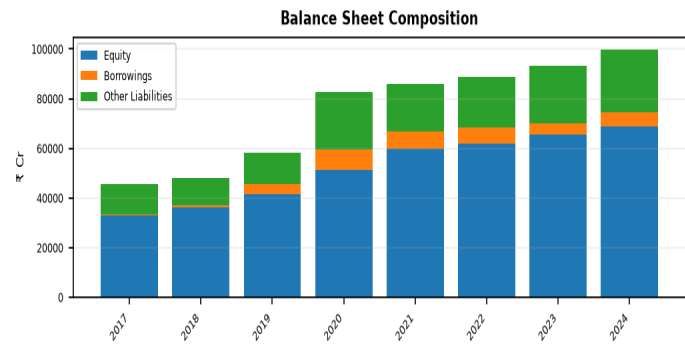


Information Technology | HCL Tech is a leading global IT services company, which is ranked amongst the top five Indian IT services companies in terms of revenues. Since its inception into the global landscape after its IPO in 1999, HCL Tech has focused on transformational outsourcing, and offers an integrated portfolio of services including software-led IT solutions, remote infrastructure management, engineering and R&D; services and BPO. The company leverages its extensive global offshore infrastructure and network of offices in 46

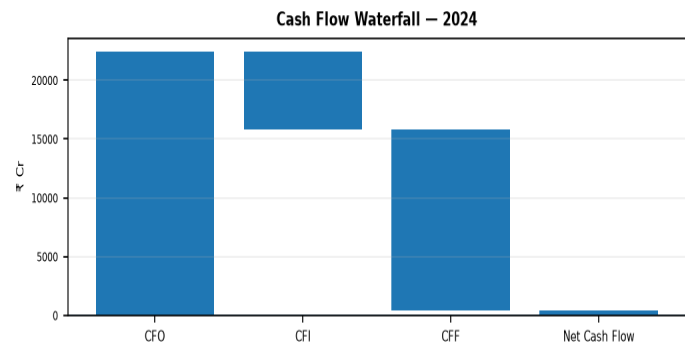
ROE	ROCE	Debt / Equity
23.0%	32.7%	0.08
Revenue CAGR 5Y	PAT CAGR 5Y	Free Cash Flow
12.7%	9.2%	■15,840 Cr



Balance Sheet Composition



Latest-Year Cash Flow



Pros

- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Consistent dividend yield above 2% backed by positive free cash flow
- Strong free cash flow generation over 5 years signals healthy business fundamentals
- Consistently high return on equity above 20% demonstrates exceptional capital efficiency
- Return on equity improving for 3 consecutive years shows strengthening business quality
- Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

- Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk

CAPITAL ALLOCATION: Reinvestor